ties and suggested that they return all items each had borrowed from the other. Lisa responded that she wanted her $500.

"What?!" Billy exclaimed. He had forgotten about the loan since it had been over a year since it had been mentioned. But Lisa hadn't forgotten about it. Billy said that he didn't have the money, but would send it as soon as he could. After five months of patiently waiting, Lisa decided she had no other option but to take Billy to small claims court.

Small claims court basics in Los Angeles County (rules may vary from state to state):

- A person who sues in small claims court must first make a demand if possible. This means that you have asked the defendant to pay, and the defendant has refused.
- The claim limit is $7,500 each calendar year.
- If you are suing a guarantor, the maximum is $4,000. A guarantor is one who promises to be responsible for the debt of another.
- You can file as many claims as you want for up to $2,500 each. However, you can only file two claims in a calendar year for more than $2,500.
- You must sue in the right court and judicial district. This rule is called venue. The right district may be where the defendant lives or where the business involved is located.
- The correct way of telling the defendant about the lawsuit is called service of process. This means giving the defendant a copy of the claim. You cannot do this yourself.
- You must appear at the small claims hearing yourself.

Lisa went to the courthouse and filled out the necessary paperwork. She then waited for the marshals to notify her that